The Roth Conversion Plan

Robert & Hope Brizzi · the 3-year ladder · July 2026

The decision

Convert the entire **$426K traditional IRA to Roth in three annual rungs of ~$170K** (December 2026, 2027, 2028), each sized to fill — and never exceed — the 24% federal bracket. Fully Roth by the end of 2028. Total cost ≈ **$136K**, every dollar taxed at 24% + 4.25% NC, paid from cash, never from the IRA.

> *"Rates will be higher in 20 years" is the reason to convert everything, fast. The bracket math is the reason to take 36 months instead of one December.*

Why not one gulp — converting all $426K in 2026

Slice of the conversion	Rate	Tax
First ~$170K — fills the 24% bracket	24%	$41K
Next ~$106K — spills into the next bracket	**32%**	$34K
Last ~$150K — spills again	**35%**	$53K
North Carolina (4.25% on all of it)		$18K
SALT clawback — MAGI ~$726K blows the $505K cliff; cap crushed toward $10K		~$3K
Total, due at once	**~35% blended**	**≈ $149K**

Three more strikes: it consumes the deployment plan (the $60K tax fund covers less than half — the rest raids the brokerage); conversions are **irreversible** (recharacterization ended in 2018); and under age 59½ the tax must come from cash — withholding from the conversion itself triggers a 10% penalty and shrinks the Roth.

The 3-year ladder — every dollar at 24%

Rung	Convert	Tax (~28% all-in)	Funded by
December 2026	$170K	~$48K	The $60K conversion-tax fund
December 2027	$170K	~$48K	Cash flow + Tesla proceeds
December 2028	~$130K + growth	~$40K	Cash flow
Total — fully Roth by 2028	**~$470K**	**≈ $136K**	**Never above 24%**

Head-to-head

	One gulp (2026)	3-yr ladder	Old 6-yr ladder
Total tax	~$149K	**~$136K**	~$150K*
Top rate paid	35%	**24%**	24%
Fully Roth by	2026	**2028**	~2032
Breaks the cash plan?	Yes	**No**	No
Backdoor Roth opens	2027	**2029**	~2033

*More total dollars converted because the unconverted balance keeps growing.

The rates-will-rise thesis, priced correctly

The one-gulp's top $256K is taxed at 32–35% **this year**; under the ladder that same money converts at 24% in 2027–2028. So the gulp is really a bet that **rates jump above 35% within 24 months** — near-impossible: current brackets are permanent law (OBBBA, 2025) and any change requires new legislation, typically with a future effective date visible a year out. The 20-year thesis can be entirely right while the 2-year version stays entirely wrong.

The free hedge: if higher rates are ever enacted with a future effective date, the remaining rungs accelerate into the last low-rate year — the tail converts at 24% with the legislation in hand. The ladder gets the insurance the gulp pays ~$15K for, at no cost.

Where the thesis really pays: after 2028, every future rate increase is someone else's problem. At 12% for 30 years, ~$470K of converted dollars grows toward **~$3.6M — permanently tax-free, no RMDs ever** — versus ~$3.19M after tax on the do-nothing path. The conversion's lifetime edge (~$400–500K+) grows with every rate hike that lands after the ladder is done.

Alongside the ladder

Move	Detail
Hope's backdoor Roth	~$7,500/yr, clean today — her Schwab 401(k)/pension don't trigger pro-rata. Confirm she holds no traditional IRA.
Rob's backdoor Roth	Blocked by pro-rata until the IRA is empty — opens 2029 under this schedule, four years early.
Tesla proceeds (~$35K)	After the DV claim resolves: conversion-tax fuel + Hope's backdoor. ~8× the Roth impact of dripping it through contributions.
Each December	CPA sizes the exact rung to final AGI: fill the 24% bracket, stay under the ~$505K SALT cliff, mind the charitable floor.
Invest converted dollars	100% equities — longest horizon, tax-free forever. Bonds stay in taxable/pre-tax.